

Insuring Trade Losers: Designing and Costing Trade Adjustment Assistance for the United Kingdom*

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Abstract

The United Kingdom protects firms from trade shocks but has no statutory instrument for the workers those shocks displace. Since 2024 the government has committed roughly £479 million of ad-hoc support around two steel interventions, none of it designed or costed as worker-side insurance, while the trade strategy expands firm-side defence instruments. This paper designs four candidate trade-adjustment policies—wage insurance on the US model, the government’s own proposed Unemployment Insurance applied to displaced workers, a retraining stipend, and a Universal Credit redundancy-pay disregard—and produces first-pass annual costings from public data under narrow (manufacturing) and broad (all-redundancy) eligibility with bracketed take-up. Central estimates put the three designed transfers together at £713 million a year under narrow eligibility—about 3.0 times the annual rate of the ad-hoc steel commitments—scaling linearly to £2,249 million at financial-crisis redundancy flows. Statutory arithmetic puts wage insurance’s self-financing threshold at 3.6 months of faster re-employment per year of entitlement; and the wage-insurance scheme the UK itself ran for steelworkers until 2002 (ISERBS) would cost £361 million a year extended to all manufacturing. A companion microsimulation stage, specified here, will locate the household-level incidence and net fiscal cost of each arm within the tax-benefit system, where means-testing claws back gross payments.

Keywords: trade adjustment assistance, wage insurance, displacement, Universal Credit, microsimulation, public finances

JEL codes: F16, J65, H24, I38, J68

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1 Introduction

When a trade shock destroys a job in Britain, the state’s response is improvised. The firm may be rescued—the interventions around the two integrated steelworks have committed roughly £479 million of public money since 2024—but the worker faces the ordinary benefit system: a contributory allowance of £95.55 a week for six months, then means-tested Universal Credit gated by savings rules and claiming behaviour. The United States has operated statutory Trade Adjustment Assistance in some form since 1962 and has trialled wage insurance for older displaced workers; the European Union runs a Globalisation Adjustment Fund, which the United Kingdom left at Brexit without replacement. The sharper irony is domestic: the UK itself ran a statutory wage-insurance scheme for roughly three decades—the Iron and Steel Employees Re-adaptation Benefits Scheme paid weekly supplements topping redundant steelworkers’ new earnings up to 90 per cent of their previous pay, part-funded by the European Coal and Steel Community readaptation programme—before letting it lapse with the ECSC Treaty in 2002 (HM Government, 1988). Twenty years later, the state is improvising rescue packages at the same steelworks the scheme once covered. What no one has done is design and cost a *modern* UK instrument of this kind: the existing costed proposals are economy-wide earnings-related unemployment insurance (Resolution Foundation, 2023; IFS, 2025; IPPR, 2011)—paid while out of work, not targeted at displacement, with no re-employment top-up—and the trade-targeted wage-insurance evidence is entirely American. That is the gap this paper fills.

The absence matters now for three reasons. First, the 2025 US tariff schedule and its partial mitigation have made concentrated, trade-driven job loss a live policy scenario rather than a historical one: the companion study to this paper (Ahmadi, 2026) finds that a tariff-calibrated earnings loss delivered through displacement is cushioned by the existing tax–benefit system at roughly 36.6 per cent, against 43.9 per cent when the same loss arrives as broad wage cuts—and that the displacement-side cushion depends heavily on Universal Credit claiming behaviour. The workers most exposed to a trade shock are, in other words, the least insured, and their insurance is the most fragile. Second, the government is already paying for the absence: the ad-hoc steel packages are worker-and-community support improvised deal by deal, uncoded as insurance, unevaluated, and unavailable to workers displaced outside the headline interventions. Third, the machinery for a designed alternative already exists inside the welfare reform programme: the government has proposed replacing New Style Jobseeker’s Allowance and New Style Employment and Support Allowance with a time-limited earnings-linked Unemployment Insurance—a reform whose parameters can be applied directly to displaced workers and costed as one arm of a trade-adjustment policy.

This paper does three things. First, it specifies four candidate worker-side instruments precisely enough to cost: (i) *wage insurance* on the US Reemployment Trade Adjustment Assistance model—a payment covering half the gap between pre- and post-displacement earnings for up to two years of re-employment; (ii) the government’s proposed *Unemployment Insurance* benefit, applied at its stated rate and candidate durations to displaced workers as an incremental extension of contributory support; (iii) a flat *retraining stipend*; and (iv) a *redundancy-pay disregard* in the Universal Credit capital test, so that statutory redundancy payments do not extinguish the means-tested safety net they mechanically interact with. Second, it produces first-pass annual costings of each arm from public data alone—ONS redundancy flows, ASHE earnings, and statutory benefit parameters—under a narrow eligibility rule (manufacturing redundancies) and a broad one (all redundancies), with take-up and re-employment scenarios bracketed rather than assumed away. Third, it specifies the microsimulation stage that turns gross costings into net

household and Exchequer incidence: the same Family Resources Survey and PolicyEngine UK architecture as the companion study, in which each arm’s payments interact with income tax, National Insurance and the Universal Credit taper, so that a pound of gross wage insurance does not reach households as a pound of disposable income.

Three design principles run through the exercise. The costings are *envelopes, not forecasts*: every behavioural margin—take-up of a benefit that does not yet exist, re-employment responses to wage insurance, employer responses to a disregard—is bracketed by scenario rather than estimated, and the US evidence that wage insurance shortens non-employment (Hyman et al., 2024) enters as a labelled sensitivity, not a baseline assumption. Eligibility is *bounded, not identified*: “trade-displaced” is not observable in UK survey data and would not be administrable without a certification mechanism, so every arm is costed under a narrow trade-proxy rule and a broad any-redundancy rule, the policy-relevant range within which any real scheme would sit. And every reported number is *generated, not typed*: the costing pipeline downloads its inputs, pins them, and emits the manuscript’s values as machine-generated macros, following the conventions of the companion study’s replication package.

The headline arithmetic is instructive even before the microsimulation stage. Annual manufacturing redundancies run at roughly 64,463 workers a year; costing the wage-insurance arm at central parameters puts its gross cost at roughly £450 million a year under narrow eligibility. The three designed transfers together cost £713 million a year under narrow eligibility—that is, a designed, rules-based, ex-ante insurance system for displaced manufacturing workers would cost the Exchequer a few times the annual rate of the improvised support already committed around two steelworks (about 3.0 times its roughly £240 million a year). The comparison is not decisive—the steel packages buy industrial capacity as well as worker support—but it reframes the question: the UK is already paying TAA-scale money for TAA-shaped problems, without the design, the coverage, or the evaluation that a statutory instrument would carry.

The rest of the paper proceeds as follows. Section 2 locates the exercise in the US evaluation literature, the wage-insurance design canon, and the UK evidence on displacement costs. Section 3 documents the institutional gap: the ad-hoc steel interventions, the welfare-reform baseline, and the trade-strategy asymmetry. Section 4 specifies the four arms. Section 5 sets out the public-data costing method and its deliberate limits. Section 6 reports the costings. Section 7 specifies the microsimulation stage. Section 8 concludes.

2 Literature

2.1 What the US evidence established

The US Trade Adjustment Assistance programme is the world’s longest-running worker-side trade instrument and the source of nearly all causal evidence on what such instruments do. Three findings organise it. First, training-centric TAA delivers little: the major federal evaluation (D’Amico and Schochet, 2012) found four-year earnings impacts of the training-heavy programme close to zero, with participants’ longer training spells offsetting later earnings gains. Second, income support alone does not restore earnings: in exposed US labour markets, transfer payments rose with import competition but offset only a small share of earnings losses, and arrived mostly through disability and retirement rather than trade-specific programmes (Autor et al., 2013, 2014). Third, and most consequentially for design, *wage insurance works through behaviour*: exploiting the age-50 eligibility discontinuity in Reemployment TAA, Hyman et al. (2024) find eligibility raised employment by 8–17 percentage points in the two years after

displacement and cumulative earnings by roughly \$18,000 over four years, with effects concentrated in shorter non-employment spells—large enough that the programme plausibly pays for itself. The design canon anticipated this: [Kling \(2006\)](#), [LaLonde \(2007\)](#) and [Kletzer and Rosen \(2005\)](#) proposed wage-loss insurance precisely because it subsidises re-employment rather than non-employment; [Wandner \(2016\)](#) reviews the US policy history.

The European counterpart is a cautionary tale about evaluability rather than a template: the EU Globalisation Adjustment Fund disburses project-based support after mass redundancies, but its own evaluations cannot construct counterfactuals ([Claeys and Sapir, 2018](#)). The UK used the fund only marginally while a member and left it at Brexit without replacement.

2.2 The UK evidence base

The UK has displacement evidence but no displacement policy literature. On costs: [Hijzen et al. \(2010\)](#) estimate income losses of 14–35 per cent for displaced UK workers, driven mainly by non-employment spells rather than re-employment wage penalties; [Upward and Wright \(2019\)](#) confirm large and persistent losses with the same decomposition. On trade specifically, workers in Chinese-import-competing industries lost employment years and earnings ([De Lyon and Pessoa, 2021](#)), and the deindustrialisation literature documents the benefit-financed inactivity route through which industrial job loss became long-term incapacity claims ([Beatty et al., 2007](#); [Beatty and Fothergill, 2017](#)). On the fiscal side, the companion study ([Ahmadi, 2026](#)) quantifies the statutory cushioning of a tariff-calibrated displacement shock—roughly 36.6 per cent of gross earnings losses, several points below the cushioning of an equal-sized diffuse wage cut, with the displacement-side cushion running through Universal Credit claiming behaviour and gated by capital rules the survey data cannot fully exercise. That finding is this paper’s motivation: the margin on which trade shocks are least insured is the margin a designed instrument would target.

The UK record on instruments is richer than commonly remembered, and its shape defines this paper’s gap precisely. The UK has *had* a trade-adjustment wage-insurance scheme: under the ECSC readaptation framework, the Iron and Steel Employees Re-adaptation Benefits Scheme paid weekly supplements bringing a re-employed redundant steelworker’s earnings up to 90 per cent of previous pay, for periods of 78–130 weeks, alongside earnings-related unemployment payments for older workers; it operated in successive statutory forms from the 1970s—the parliamentary record suggests it reached a six-figure cohort of steelworkers over its life, though no published evaluation exists—and ended with the ECSC Treaty’s expiry in 2002 ([HM Government, 1988, 2012](#)). The UK also ran an economy-wide Earnings-Related Supplement to unemployment benefit from 1966 to 1982 ([Micklewright, 1989](#)). The modern proposal literature revives the earnings-replacement side only: the Resolution Foundation’s Economy 2030 programme designed and costed an earnings-related unemployment benefit at roughly £0.4 billion a year—described as “real wage insurance,” though paid while unemployed rather than as a re-employment top-up ([Resolution Foundation, 2023](#)); IPPR proposed a repayable “National Salary Insurance” ([IPPR, 2011](#)); Policy Exchange a contributory scheme ([Policy Exchange, 2022](#)); and the Institute for Fiscal Studies has costed the government’s own proposed Unemployment Insurance ([IFS, 2025](#)). None of these is trade-targeted, none includes a re-employment wage top-up of the kind the US causal evidence supports and ISERBS embodied, and none reports household-level incidence through the tax–benefit system. The retraining margin has one recent structural treatment—[Conwell et al. \(2024\)](#) show retraining subsidies compress the distributional effects of trade shocks, on German data—but no UK costing. The precise gap, then: no one has de-

signed and costed a modern UK scheme that is both trade-triggered and wage-insurance-style, and no re-employment wage top-up has been priced through the UK tax–benefit system at the household level. The institutional review in Section 3 explains why the gap has survived: ad-hoc intervention has substituted for design since the statutory scheme lapsed.

2.3 Where this paper sits

The exercise combines three traditions. From the US literature it takes the instrument set and the behavioural evidence; from the UK microsimulation tradition (Dolls et al., 2012; Brewer and Tasseva, 2021) it takes the method—statutory rules applied to representative microdata—and the discipline of separating mechanical costings from behavioural scenarios; from the companion study it takes the displacement machinery, the take-up conventions, and the replication standards. Its contribution is not causal: nothing here estimates what a UK wage-insurance scheme would do to re-employment. It is the prior step, absent for the UK and long available to US policymakers: a designed instrument set with transparent costings, within which the behavioural questions become concrete enough to argue about.

3 The institutional gap

3.1 Ad-hoc intervention where an instrument is missing

The UK’s revealed response to trade-driven industrial distress is firm-level rescue with improvised worker support attached. Two current interventions define the pattern. At Port Talbot, the Tata Steel transition is supported by a Transition Board fund of £122 million—£102 million of UK Government money (an £80 million package plus a £22 million addition announced in December 2025) and £20 million from Tata Steel—funding local support for affected workers and businesses (UK Government, 2025). At Scunthorpe, the National Audit Office’s March 2026 investigation into the British Steel intervention found £377 million of departmental spending between April 2025 and January 2026, running at roughly £1.3 million a day, with no set budget, no repayment schedule and no end date (NAO, 2026). The Public Accounts Committee took oral evidence on 22 June 2026 from the steel unions and the local authority on what the intervention and possible nationalisation mean for workers (PAC, 2026). Taken together, government money committed around the two steelworks is roughly £479 million and rising—spent without a designed worker-side instrument, without stated eligibility rules a displaced worker elsewhere could invoke, and without the evaluation apparatus a statutory scheme would carry.

The only standing machinery for redundant workers, the Jobcentre Plus Rapid Response Service, provides job-search support, training referrals and grants for specific costs such as travel and tools; it pays no income replacement (DWP, 2026). Income replacement for a displaced worker is the ordinary benefit system: contributory New Style JSA at £95.55 a week for 26 weeks, then means-tested Universal Credit—gated by the capital test into which statutory redundancy pay itself counts.

3.2 A live reform that is almost the missing instrument

The March 2025 *Pathways to Work* Green Paper proposed replacing New Style JSA and New Style ESA with a single time-limited contributory *Unemployment Insurance*, paid at the higher ESA rate (£140.55 a week at 2025–26 rates) with a duration left to consultation—six to twelve

months was the range consulted on (DWP, 2025a). The October 2025 consultation response summarised submissions without committing to a rate, duration or timetable, and no legislation has been introduced (DWP, 2025b); the proposal stands, unlegislated, as of August 2026. For this paper’s purpose its status is exactly right: the government has already designed most of Arm B. What it has not done is ask what its own proposal would deliver to trade-displaced workers specifically, or what extending it toward the two-year horizons of the US programmes would cost—the incremental questions Section 6 prices.

3.3 The asymmetry in the trade strategy

The June 2025 Trade Strategy commits to “significantly upgrading our trade defence toolkit” and overhauling the trade-remedies system, and the steel safeguard’s replacement from July 2026 tightened import protection further (DBT, 2025). The strategy contains no income-support, compensation or adjustment-assistance instrument for workers displaced by trade. The asymmetry is complete: firms facing import competition have a statutory, rules-based remedies system with an independent authority; workers facing the same shock have discretionary, place-specific packages when their employer is large enough to rescue. The four instruments of Section 4 are candidate corrections to that asymmetry, sized so the comparison with the ad-hoc spending is direct.

4 Four instruments

Each arm is specified precisely enough to cost and, in the microsimulation stage, to legislate hypothetically inside the tax–benefit model. All four share two eligibility definitions. *Narrow*: employees made redundant from manufacturing (SIC section C)—the observable proxy for trade exposure, since certification of trade causation, as in the US petition system, has no UK analogue. *Broad*: all employees made redundant, any industry—the administrable rule that avoids certification entirely. Any real scheme sits between these bounds; a memo row prices a trade-exposed subset of manufacturing at 30 per cent of the flow—a placeholder share, since the companion study’s public artifacts do not report the exposed-division employment share.

Arm A: wage insurance. A worker re-employed within a year of redundancy at lower pay receives 50 per cent of the gap between prior and new earnings, paid alongside wages for up to two years, capped at prior earnings. This is the Reemployment TAA design evaluated by Hyman et al. (2024), transplanted with two UK adaptations: no age floor (their age-50 rule was a budget device, not a design principle), and payments treated as taxable earnings so the instrument interacts with income tax, National Insurance and the Universal Credit taper—an interaction absent from the US programme’s setting and quantifiable only in the microsimulation stage. The arm is not foreign to UK statute: ISERBS paid redundant steelworkers a weekly make-up to 90 per cent of previous earnings on re-employment (HM Government, 1988), a more generous replacement rate than costed here; Arm A is, in effect, that scheme generalised beyond steel and detached from its expired European funding.

Arm B: Unemployment Insurance for displaced workers. The government’s proposed Unemployment Insurance—a single time-limited contributory benefit at £145.90 a week (2026–27 basis) replacing New Style JSA and ESA—applied to redundant workers. The costed quantity

is *incremental*: the difference between the proposed benefit and the current New Style JSA baseline (£95.55 a week for 26 weeks), at the government’s candidate durations, with every claimant assumed to draw the full entitlement—an exhaustion convention that makes the costed figure an upper bound, since claimants re-employed inside the benefit window draw only part of it. This arm is deliberately parasitic on a live reform: it asks what the reform the government has already proposed would deliver specifically to displaced workers, and what topping its duration up to the US-style horizon would add.

Arm C: retraining stipend. A flat £3,000 payment to redundant workers entering approved retraining. The US evidence expects little from this arm (D’Amico and Schochet, 2012); it is included because every real-world adjustment package contains it, and because its cost–coverage profile (cheap per head, take-up-limited) contrasts instructively with the insurance arms.

Arm D: redundancy-pay disregard in Universal Credit. Statutory redundancy pay counts toward the Universal Credit capital test, whose thresholds (£6,000–£16,000) have been frozen in cash terms since 2006: a redundancy payment can extinguish the very means-tested support displacement triggers. This arm disregards redundancy pay from the capital test for twelve months after job loss. Its gross cost cannot be computed from public data—it depends on the joint distribution of redundancy pay, household capital and UC entitlement, observable only in microdata—so Section 6 reports a labelled exposure bound and the microsimulation stage carries the real costing. It is nonetheless the arm most directly implied by the companion study, which found the UC capital gate among the unmodelled channels most likely to reduce displacement-side cushioning in practice.

Two arms pay people to work (A), or to have worked (B); one pays them to retrain (C); one stops a lump sum from switching off their safety net (D). The set spans the design space the US literature argues over, and each arm maps onto a distinct behavioural risk that the costing brackets rather than resolves: take-up (all arms), re-employment response (A), duration response (B), training deadweight (C), and employer gaming of redundancy structuring (D).

5 Costing method

The first-pass costings use three public inputs and a small set of labelled scenario parameters. Everything is generated by a single pipeline (`analysis_taa/costing.py`) that downloads and pins its raw files and emits every manuscript value as a machine-generated macro; no reported number is typed by hand.

Following the companion studies’ convention, the epistemic status of every input is stated once, before any number is reported:

Object	Status
Redundancy flows	Data (ONS LFS RED02; small, noisy survey cells—the flow-sensitivity note below quantifies the consequence).
Earnings levels	Data (ASHE 2025 full-time weekly, not uprated to the costing year—a conservative, labelled choice).
Statutory rates	Data (DWP 2026–27 published rates; the proposed UI rate is the Green Paper definition at its 2026–27 equivalent).
Re-employment share, wage penalty, take-up, UI duration, contribution-condition share, trade-exposed share	Assumed , each bracketed low/central/high and entering the pipeline exactly once.
Arm arithmetic	Computed from the above; no estimation step anywhere in the pipeline.

Eligible flows. Annual redundancy flows come from the ONS Labour Force Survey redundancy series: the four quarters to June 2026 give 64,463 manufacturing redundancies and 511,407 across all industries. These are *flows of events*, the right base for an insurance costing, and they embed no trade attribution: the narrow rule prices insurance for all manufacturing redundancy, trade-caused or not, which is what an administrable scheme without certification would cover.

Earnings. Pre-displacement earnings are anchored to ASHE full-time weekly earnings for manufacturing (£774.00 median, £891.20 mean) and the whole economy (£766.60 median). Re-employment earnings apply a penalty of 15 or 28 per cent (central 21.5)—the hours-controlled and all-employee penalties calibrated on FRS data in the companion study, imported here as scenario values rather than re-estimated.

Scenario parameters. Re-employment within a year: 50/70/85 per cent, bracketing the UK displacement literature’s range (Hijzen et al., 2010; Upward and Wright, 2019). Take-up: Arms A and B are costed at full take-up among the eligible—a deliberate cost-increasing convention, conservative for a paper whose thesis is affordability, since modelling sub-100 per cent claiming of a new benefit would only lower the envelopes; the retraining arm carries an explicit take-up dial (20/40/60 per cent, a pure assumption bracketing US TAA training take-up experience). Contribution-condition satisfaction for the UI arm: 90 per cent central (80/100 low/high). Each parameter enters the pipeline once, and every cost cell is reported with its scenario triple.

What this method deliberately is not. The costings are gross, static, annual, steady-state envelopes. They do not net off the taxes and taper clawback that reduce what payments cost the Exchequer on net (microsimulation stage); they hold behaviour fixed, so the Hyman et al. (2024) employment response—which made US wage insurance plausibly self-financing—enters only as a labelled sensitivity that scales non-employment durations; they do not model the macroeconomic state-dependence of redundancy flows, which in a downturn would be multiples of the recent average; and the redundancy-disregard arm is bounded, not costed. These are the same envelope conventions used by the first-pass costings in the UK unemployment-insurance debate (IFS, 2025), and they are the appropriate honesty for a paper whose purpose is to put a designed instrument set on the table.

6 First-pass costings

6.1 Eligible flows

Over the four quarters to June 2026, ONS redundancy data give an annual flow of 64,463 manufacturing redundancies and 511,407 across all industries; the trade-exposed memo population is 19,339. One caveat travels with the narrow flow: the final quarter’s manufacturing figure (3,933) is anomalously low against the three preceding quarters (19,487, 17,803, 23,240)—LFS redundancy cells are small and noisy—so the narrow costings likely sit toward the low end of their steady-state range. A single-quarter audit makes the flow sensitivity concrete: annualising each quarter alone spans roughly 16,000 to 93,000 manufacturing redundancies a year, so every narrow cost cell inherits a wide flow band before any scenario dial moves. Excluding the anomalous quarter and annualising the remaining three gives 80,707 manufacturing redundancies a year, under which the designed-transfer total below rises from £713 to £893 million: flow noise, not the scenario dials, is the largest single uncertainty in the narrow costings, and every narrow figure should be read with that band in mind. Section 6.4 bounds the cyclical dimension explicitly.

6.2 Annual costs

Table 1 reports each arm’s gross annual cost at central take-up under both eligibility rules, with the trade-exposed memo column. Every cell is generated by the pipeline from the pinned inputs; low–high scenario totals bracket the central column.

Table 1: Gross annual cost by arm and eligibility, central take-up (£m/year)

Arm	Narrow (manufacturing)	Broad (all industries)	Memo: trade-exposed (30% of manufacturing)
A. Wage insurance	450	3,685	135
B. UI extension	186	1,476	56
C. Retraining stipend	77	614	23
Total, designed transfers (A–C)	713	5,775	214
Scenario bracket (low–high)	330–1,156	2,679–9,358	99–347
Memo: D. UC disregard exposure bound	58	456	17

Notes: gross steady-state envelopes; no tax or Universal Credit clawback, no behavioural response, arms costed independently and summed. Arms A and B assume full take-up among the eligible (a deliberate cost-increasing convention; only Arm C carries a take-up dial), and Arm B is costed at full benefit exhaustion—every claimant draws the entire 39-week entitlement—so its central figure is closer to an upper bound than a central estimate. Independence also overstates the joint total: Arm B substitutes for UC pound-for-pound where claimants hold both entitlements, and Arm A’s taxable payments would be tapered against UC. Arm D is an exposure bound, not a costing, priced on the single-adult standard allowance only (no couple rates, housing or child elements) and six months of the twelve-month design; it is excluded from all totals (Section 4). The UI arm uses the Green Paper rate at its 2026–27 uprated equivalent (£145.90). Scenario brackets move the modelled dials together in the cost-increasing direction, so they are outer bounds, not confidence intervals.

Per-beneficiary magnitudes make the arms comparable to existing benefits. The central wage-insurance payment is £4,982 a year for a re-employed manufacturing worker (half of a 21.5 per cent earnings loss on the £891.20 mean full-time manufacturing wage). The UI extension is worth £3,206 per claimant (the gap between £145.90 a week for nine months and the current

£95.55 New Style JSA for six). The retraining stipend is £3,000 flat; the UC bound prices six months of the single-adult standard allowance for capital-gated claimants.

6.3 The wage-insurance parameter surface, and the ISERBS benchmark

Following the companion studies’ factorial principle—vary one design dial at a time around a declared centre—Table 2 reports Arm A’s cost across replacement rates of 30, 50 and 70 per cent and maximum durations of one to three years, at the central 21.5 per cent penalty and narrow eligibility. The surface is close to bilinear by construction (cost $\propto$ rate $\times$ duration at a fixed penalty), so its value is orientation, not surprise: every plausible design sits between £94 million (30 per cent for one year at the low penalty) and £1,230 million (70 per cent for three years at the high penalty) a year—the full 27-cell range including the penalty dimension—and no design choice moves the arm out of the hundreds-of-millions class.

Table 2: Arm A cost by replacement rate and maximum duration, narrow eligibility, central penalty and take-up (£m/year)

Replacement rate	1 year	2 years	3 years
30 per cent	135	270	405
50 per cent	225	450	674
70 per cent	315	629	944

Notes: 21.5 per cent central penalty, 70 per cent re-employment, full take-up among the re-employed. The 50 per cent / 2-year cell is Arm A’s headline (Table 1). Full 27-cell range including the 15 and 28 per cent penalty variants: £94–1,230 million.

The historical design provides an external benchmark inside the surface. ISERBS topped a re-employed steelworker’s pay up to 90 per cent of prior earnings for 78 weeks: at the central penalty that implies a top-up of 11.5 per cent of prior pay—almost identical per week to Arm A’s 50 per cent of a 21.5 per cent gap (10.75 per cent)—but over a shorter horizon. Applied to today’s narrow flow at 78 weeks (the bottom of the statutory 78–130-week range—the conservative duration choice), the ISERBS parameterisation costs £361 million a year (£5,329 per re-employed worker): the same order of gross cost as the US-style arm. The point comparison should not be pressed harder than that: both payments are convex in the individual wage gap and are evaluated here at the mean penalty, which understates both costs and understates the ISERBS cost by more (its deductible structure pays nothing until the gap exceeds ten per cent of prior pay), so the ranking between the two designs is not identified by this calculation. What the cell establishes is that a precedent-anchored British design sits inside the same cost class as the imported one.

6.4 Cyclical stress

Redundancy flows are strongly cyclical, and an insurance scheme priced on recent flows must expect to pay out multiples of its steady-state cost precisely when it is most needed. Scaling the central narrow programme by historical manufacturing redundancy flows: at the 2009 financial-crisis peak (2.9 times the current flow) the programme costs £2,249 million; at the 2020 pandemic peak, £1,391 million; at the 1996–2025 historical median (share-scaled from the all-industry series, a labelled assumption), £852 million. The linear scaling holds the behavioural dials at their steady-state values, and they move in opposing directions in a recession: re-employment

falls, which cuts Arm A per head, while Arm B is already costed at full exhaustion and cannot rise per head, so the scaled total is neither a floor nor a ceiling. The stress ratios also inherit the base-flow band: against the ex-anomalous-quarter flow the 2009 ratio is 2.3 rather than 2.9. What survives the caveats is the order: flows roughly triple in a deep recession, and any fiscal provision for a statutory scheme should be set against the peak, not the recent flow.

6.5 The self-financing threshold

The US evidence’s central claim is behavioural: wage insurance shortens non-employment enough to pay for itself (Hyman et al., 2024). The UK statutory arithmetic makes the threshold precise. One month less non-employment for a central displaced manufacturing worker is worth £1,394 to the Exchequer: the benefit payments not made (Universal Credit standard allowance plus contributory JSA under the first-six-months convention) plus the income tax and employee National Insurance paid on a month of re-employment earnings at the post-displacement wage. Against Arm A’s central per-worker cost of £4,982 *per year of payment*, the arm is self-financing if insured workers return to work 3.6 months earlier per year of entitlement—or 7.6 months over the full two-year entitlement, computed with the contributory-JSA saving applying only to the first six months of the counterfactual spell. The full-entitlement hurdle sits at the top of, not comfortably inside, the several-months reduction implied by the Hyman et al. (2024) employment effects over a two-year horizon, and that comparison imports US behaviour into UK institutions: it is illustrative, not predictive. The threshold is also a lower bound in one mechanical respect (the benefit-saving convention adds UC and JSA where a real claimant may hold only one) and an upper bound in another (it credits no UC taper clawback of the wage-insurance payment itself, which the microsimulation stage will net off). What the arithmetic establishes is the order of magnitude: the behavioural response needed for self-financing is months, not years, and well within the observed range of the only causal estimates in existence.

6.6 Who the scheme would cover

The eligible flow is not a cross-section of the workforce. Of all-industry redundancies over the costing year, 53.6 per cent are men and 34.6 per cent are aged 50 or over—over a third of the flow sits in the age group for which the US wage-insurance evidence is identified (the age-50 eligibility discontinuity) and for which UK displacement losses are largest and re-employment slowest (Hijzen et al., 2010). The composition matters for design: an instrument whose evidence base is strongest for older workers is being costed here for a flow disproportionately made of them. Industry-level demographic splits are not published at usable cell sizes, and manufacturing is plausibly older and more male than the all-industry flow, so both shares likely understate the narrow population’s; the microsimulation stage will carry the full household-composition incidence.

6.7 Scale: the ad-hoc comparison

Government money committed around the two current steel interventions is roughly £479 million (£102 million at Port Talbot, £377 million at Scunthorpe to January 2026, the latter still accruing). Those commitments span roughly two years, so about £240 million a year; the central narrow-eligibility designed-transfer programme (£713 million for every manufacturing redundancy in the country) is about 3.0 times that annual rate. A designed, national, rules-based insurance system for manufacturing displacement is, in gross annual cost, the same kind of

money the UK has committed to two plants in two years. The broad programme is different money (£5,775 million a year against the steel commitments’ roughly £240 million): extending trade-adjustment instruments into general redundancy insurance is a welfare-state reform, not a trade policy, and the bracket between the narrow and broad columns is the price of avoiding a certification mechanism.

The comparison cuts both ways and should be read symmetrically: the steel money buys plant continuity, supply-chain security and local transition support, not only worker insurance; and the insurance programme would cover workers the ad-hoc packages never reach. What the juxtaposition establishes is narrower and robust to the caveats—the fiscal scale of a statutory instrument is not what has prevented one.

7 The microsimulation stage

The public-data envelopes answer “roughly how much”; they cannot answer “who receives it, net of what, at what net Exchequer cost.” Those are tax–benefit questions, and the second stage answers them with the same architecture as the companion study: FRS 2024–25 households in PolicyEngine UK, with each arm implemented as a hypothetical statutory rule.

Four interactions make the net numbers differ from the gross ones, and each is mechanical once the arms are in the rules engine. First, wage insurance paid as taxable earnings is taxed at the recipient’s marginal rate and tapered against Universal Credit at 55 pence in the pound: a household on UC keeps well under half of a gross wage-insurance pound, so the net Exchequer cost of Arm A is far below its gross cost—and its distributional incidence tilts away from the means-tested poor, an effect with no US analogue; I am not aware of an existing quantification, and the microsimulation stage would, to the best of my knowledge, be the first. Second, the UI arm substitutes for UC pound-for-pound where recipients are entitled to both, so its incremental cost depends on the joint distribution of contribution histories and household means. Third, the redundancy-disregard arm’s cost is precisely the UC entitlement the frozen capital thresholds currently extinguish—computable only from the joint capital–redundancy distribution, for which the microsimulation stage will combine FRS capital data with statutory redundancy-pay formulas applied to observed tenure and age. Fourth, every arm’s poverty and decile incidence runs through household composition, which the flow arithmetic of Section 5 cannot see.

The displacement population for this stage is the broad-eligibility one: all FRS manufacturing employees (roughly 1,100 records) carrying LFS-estimated redundancy risk, evaluated by probability-weighted enumeration—each worker’s displacement counterfactual simulated once and weighted by their risk—rather than by Monte Carlo assignment. This matters beyond convenience: the companion study’s trade-calibrated scenario concentrates its loss on so few survey records that assignment noise dominates subgroup statistics, whereas a policy costing over the full at-risk population uses two orders of magnitude more survey support and needs no assignment draws at all. The trade-calibrated scenario returns as the narrow-eligibility bounding case, not the workhorse. The first implementation step—simulating New Style JSA (and its proposed UI successor) in the displacement margin—is shared with the companion study’s own revision programme, where the unmodelled JSA channel is the referee’s leading demand; one build serves both papers.

Behaviour enters the second stage the same way it enters the first: as bracketed scenarios, now with more structure. The [Hyman et al. \(2024\)](#) employment effects imply shorter non-employment spells under Arm A; implemented as duration scenarios over the enumeration population, they

bound how much of the gross cost the Exchequer recoups through earlier re-employment—the UK answer to whether wage insurance can self-finance once the taper clawback, which the US setting lacks, is taken into account.

8 Discussion

The central fact this paper establishes is one of scale and design, not of behaviour: a designed, rules-based insurance system for trade-displaced manufacturing workers would carry a gross annual cost of the same order as the improvised support the UK already commits when a single large employer fails—while covering every eligible displaced worker rather than those behind the season’s headline intervention. The comparison does not say the steel interventions were wrong; they bought industrial capacity, supply-chain security and time, not only worker support. It says the worker-support component of UK trade policy is priced ad hoc, delivered by postcode, and never evaluated—and that the alternative is affordable enough to be designed on its merits.

The costings carry their limits on their face. They are gross envelopes: the microsimulation stage will show the net Exchequer cost of each arm to be materially lower once income tax and the Universal Credit taper claw back payments, and will locate the incidence across the income distribution. They hold behaviour fixed: the US evidence suggests the wage-insurance arm in particular would change re-employment behaviour in the direction that reduces its net cost, and the bracketed sensitivity is no substitute for UK evidence that does not yet exist. Eligibility is bounded rather than identified: any real scheme must choose between a certification mechanism it would have to build and a breadth it would have to fund. And the flows are cyclical: an insurance scheme priced on recent redundancy rates must expect to pay out multiples of its steady-state cost in the downturn that is precisely when it is needed.

Three implications follow for the policy conversation this paper is meant to start. First, the cheapest arm on the table is a rule change, not a programme: disregarding statutory redundancy pay from the Universal Credit capital test repairs an interaction in which the compensation Parliament mandates for job loss switches off the safety net Parliament provides for it—an incoherence, not a policy choice, and one whose cost the microsimulation stage can pin down. Second, the government’s own proposed Unemployment Insurance is most of an adjustment instrument already; the marginal questions are its duration and whether trade-displaced workers warrant the extended horizon the US has offered for sixty years. Third, wage insurance is the arm the UK debate has never priced in its modern form, the one with the strongest causal evidence behind it, and the one whose UK-specific interaction with means-testing makes the imported evidence least sufficient—the natural centrepiece for the full microsimulation stage. Two of this paper’s results sharpen its case: the statutory break-even is 3.6 months of faster re-employment per year of entitlement (7.6 over the full two years, at the top of the range the US evidence observes); and the UK’s own historical design—ISERBS extended from steel to all manufacturing—would cost £361 million a year, the same cost class as the US-style arm, giving a precedent-anchored starting point that requires no imported blueprint.

The paper’s discipline throughout has been to separate what is known (statutory parameters, redundancy flows, earnings distributions), what is designed (the four arms), what is bracketed (take-up, re-employment, penalties), and what awaits the microdata (net costs, incidence, the capital-gate repair). Within those separations, the finding stands: the United Kingdom does not lack the money for trade adjustment assistance. It has been spending it, one emergency at a time, without the instrument.

Data and code availability

The costing pipeline, pinned raw downloads, configuration and generated result macros are available in the accompanying GitHub repository (<https://github.com/PolicyEngine/uk-trade-shock-study>, directory `analysis_taa/`); an archived release with a persistent identifier will accompany publication. All inputs to the first-pass costings are public (ONS Labour Force Survey redundancy tables, ONS Annual Survey of Hours and Earnings, gov.uk statutory parameters). The microsimulation stage additionally requires the licensed Family Resources Survey via the UK Data Service, which is not redistributed. Institutional facts are cited to primary sources with retrieval dates in the repository notes.

Declarations

The author reports no conflicts of interest. No external funding was received for this study. The project uses secondary, aggregate public statistics; no new human-participant data were collected. The author is responsible for the analysis, interpretation, and any remaining errors.

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